

MANDAR DEODHAR

HOW IT TRANSFORMED MY LIFE

"Who wants to keep cash any more?"

SANJIVANI JADHAV, 48
Poynad village, Alibaug, Maharashtra

Sanjivani has been selling baskets and flower pots made out of bamboo and fibre wires for 30 years now. All the adults in their joint family of 12 follow the tradition of making baskets, sourcing the bamboo from the nearby forest and the fibre wires from Baramati and Satara, some 245 kilometres away from Alibaug. On any given day, they walk the 30-minute stretch from their village to the Poynad market or by the side of the highway to Alibaug, a major attraction for tourists due to its beaches and forts dating back to the 16th and 17th centuries. Sanjivani used to make Rs 500-600 a day, the payments collected mostly in cash. A year ago, though, she began to accept payments in UPI, through a QR code sourced from her bank. "Most of my business is now done through UPI," she says. "It is convenient to my customers, most of whom are tourists visiting Alibaug." It also solves the problem of change. A complete convert to this mode of payment, Sanjivani uses UPI to pay her suppliers too. "Who wants to keep cash in hand any more? Most people in the village use UPI, so transactions have become easy now," she says. ■



"The next step is to bring voice-based payment to drive further inclusion, in Hindi and vernacular languages. We need to look at Indians beyond the 350 million already using UPI"

DR PRAMOD VARMA
CTO at EkStep Foundation, chief architect of Aadhaar & India Stack

THE EASE OF LIVING

Developed by the National Payments Corporation of India (NPCI), the UPI emerged out of the quest for an instant real-time payment system to facilitate inter-bank transactions through mobile phones. It's protagonists were Nandan Nilekani, the then chairman of the Unique Identification Authority of India (UIDAI); Dilip Asbe, the then chief technology officer of the NPCI, a state-run firm that operates retail payments and settlement systems; and Dr Pramod Varma, the then advisor to UIDAI. It was in 2013 that they met in Bengaluru to brainstorm on a new mode of payment system that would be ubiquitous, came at zero cost, and could move money around at the speed of a Whatsapp message. On April 11, 2016, the NPCI launched a pilot programme of the UPI after a go-ahead from then RBI governor Raghuram Rajan. By August that year, banks had begun uploading their UPI-enabled apps on Google Playstore.

UPI has enabled not just billions of small transactions, penetrating rural areas, but also been the catalyst for the spurt in e-commerce and quick commerce. From 920 million in FY18, the number of UPI transactions grew to over 13,000 million in FY24 at a CAGR of 129 per cent. India now has 350 million users of UPI and 340 million QR codes at merchant locations.

UPI is now transcending India's borders and is live in seven countries, including key markets such as the UAE, Singapore, Bhutan, Nepal, Sri Lanka, France and Mauritius. It has surpassed Paypal, China's Alipay and Brazil's PIX in the number of transactions processed. The next step is to take it beyond its 350 million users and make it more inclusive. Expect voice-based payments in Hindi and vernacular languages soon. ■